

HFG-One Driving Fresh Grind Sales Initiative

Grinds Sales in our stores range from 15% to over 19% of total meat department sales volume. The Grind Category is number one in terms of significance and impact on store and department top-line sales and bottom-line gross. At HFG-One, we must drive fresh sales by launching the Fresh Grind Sales Initiative. The key word being **FRESH**.

Initiative Goals: 1% gain in grind distribution and reducing department shrink by 1%.

Initiative Highlights:

- Improving Grind Sales by managing production.
- Providing additional insight into grind times and quantities.
- Eliminating packages to be marked down.
- Grind Markdown Policy (attached) is updated to benefit the customers and the initiative.

Ground Beef Quality and Freshness Assurance Policy

This policy ensures that all ground beef is produced, labeled, and marked down in alignment with HFG-One Freshness Standards, which are designed to reduce shrink, protect gross profit, and maintain exceptional product quality. Accurate pack-on dates and times allow teams to make informed markdown decisions while ensuring customers receive the freshest product possible.

Summary of Daily Grinding Best Practices

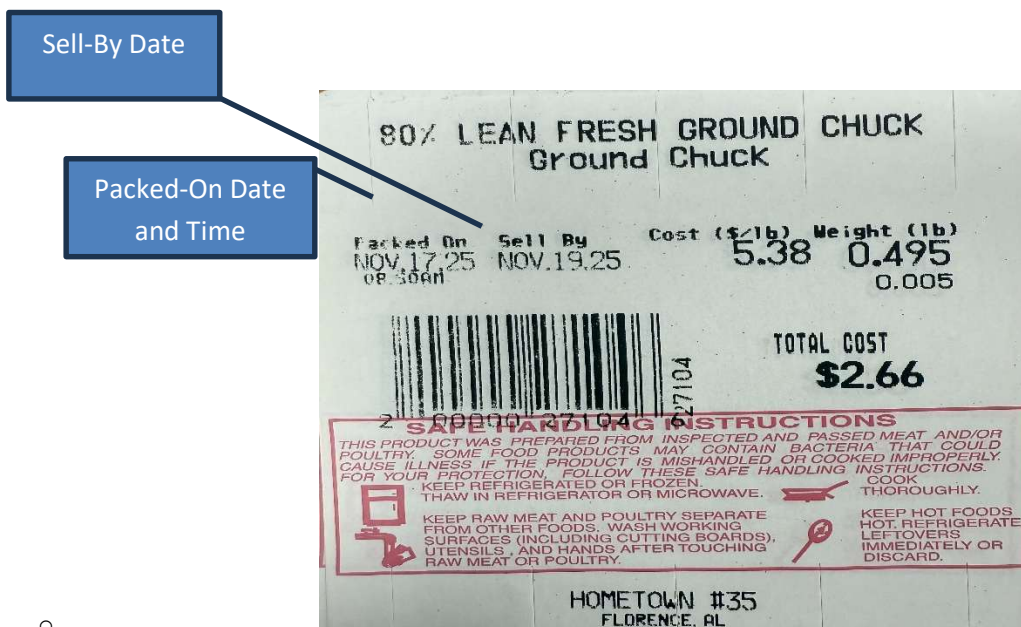
- Ground beef **MUST** be produced fresh multiple times per day. Departments may not grind the entire daily need at once. Frequent grinding maintains optimal freshness and consistent product quality.
- Grind only the amount necessary to meet customer demands for 4–5-hour timeframes. Case displays should always be at a minimum of 1 layer, but not to exceed 2 layers at any time.
- Merchandise ground beef in the fresh meat case based on expected sales volume for the time of day. Space to Sales ratio should be considered when displaying grinds. The case should be full and fresh to meet customer demands, with minimal excess packages. *(Non-Meat Store Team Members should be trained to grind during evening hours when additional products are needed and Meat Staff are absent.)*
- Include beef trimmings as available. If all trim is not needed at once, continue to grind trim throughout the day during multiple grind cycles until fully used.
- Beef trimmings should be processed the same day they are produced. If excessive trim is consistently generated, trimming habits must be evaluated and adjusted as needed.
- Monitor trim quality closely to maintain the proper ratio of lean content.
- Pullbacks or previously reduced beef cuts **MUST NOT** be mixed in during the production of ground beef.
- Previously processed ground beef **MUST NEVER** be re-grounded or mixed with fresh grinds.
- Fresh (in-department produced) Ground Beef Patties may be ground during the first grind of the business day. Fresh Ground Beef Patties should be produced daily.
- Pre-pack Grinds or Pre-Pack Ground Beef Patties cannot be mixed in during ground beef production. *Note: this does not include any retail-ready ground beef chubs which may be used.*
- No cross contamination: only beef is to be used in HFG-One beef grinds. Grinders must be cleaned and sanitized properly if other species are processed (examples: pork for sausage or ground turkey).

Ground Beef Markdown Policy Change

Key Points

- ✓ **New Labeling:** Scale labels will now include a *pack-on date and time* in addition to the *sell-by date*.
- ✓ **Purpose:** To reduce Ground Beef, Shrink and improve the overall Category Gross Profit while still maintaining Product Freshness and Quality.
- ✓ **Issue With Current Policy:** The existing markdown policy requires all ground beef to be discounted daily, regardless of when it was ground forcing premature price markdowns.
- ✓ **Benefits of the Change:**
 - Prevents premature markdowns.
 - Allows markdown decisions based on the actual age of the product.

Revised Scale Labels:



Ground Beef Markdown Policy Change

Operational Requirement:

- ✓ Each Meat Scale must be checked to ensure the time and date are accurate to support the new pack-on labeling and markdown policy.

Ground Beef Markdown Guidelines

- ✓ The new policy is intended to eliminate grind markdowns. The Initiative goal is to avoid selling reduced grinds by managing and producing grinds multiple times daily.
- ✓ Grinds will have a 2-day shelf life and are to be tossed if the shelf life expires.
- ✓ Grinds, that are 36 hours since production will be reduced by 25%.
 - Grinds, that are 40 hours since production will be reduced by additional 25%. The final markdown equals 50% of the everyday regular retail.
- ✓ After markdown, the product should be returned to its original position in the ground beef section. A total of 5 packs of markdown grinds is all that are allowed on display.
- ✓ Back-up grinds for the cooler must be approved by the Meat Specialist or Supervisors.
 - This will be reserved for high volume stores or during peak holiday sales or events.

Policy Compliance

Non-compliance with the Ground Beef Quality and Freshness Assurance Policy may result in disciplinary action, up to and including dismissal.